

Loans and Tax Exemptions

Besides the investments and expenses under Section 80C, you can also reduce your tax if you have taken a housing loan or an education loan.

Housing loan: Under Section 24(b), one can avail of deduction for the interest he pays on a home loan. If the house is self-occupied, up to Rs 1.5 lakh of the interest paid in a year is deductible from the taxable income of the individual. That is why it is advisable for working couples to go in for a joint loan to buy a house. That way, both spouses can separately claim the deduction in their income tax returns. If the house is rented out, there is no limit to the interest that can be claimed as a deduction. However, the rent earned will have to be included in the income of the owner under the head "Income from house property". Even so, this benefit coupled with the deduction of the principal repayment under Section 80C, bring down the cost of a home loan significantly.

Education loan: If you take an education loan for higher education, you can claim deduction for the interest under Section 80E. The interest paid on the loan is fully deductible, but there are certain conditions to be fulfilled. Only loans taken for full-time graduate or post graduate (PG) courses in engineering, medicine and management, or for post graduate courses in applied pure sciences (including mathematics and statistics) from a recognized institution are eligible for this benefit. The loan should have been taken for yourself, your spouse or your children. A loan taken for siblings and other relatives will not qualify for deduction. Also, the loan should have been taken from a recognized financial institution. Loans from employers or individuals do not count. Unlike home loans, there is no tax benefit on the repayment of the principal portion. Also, you can avail of the deduction for a maximum of eight years from the year you start repayment.



For e-payment of
INCOME TAX
WEALTH TAX
TDS
GIFT TAX
CORPORATE TAX
CENTRAL EXCISE
SERVICE TAX
VAT/CSST

**24 x 7
Online Tax
Payment Facility**

SBI e-Tax

• Safe • Secure • Convenient
Log onto www.onlinesbi.com